

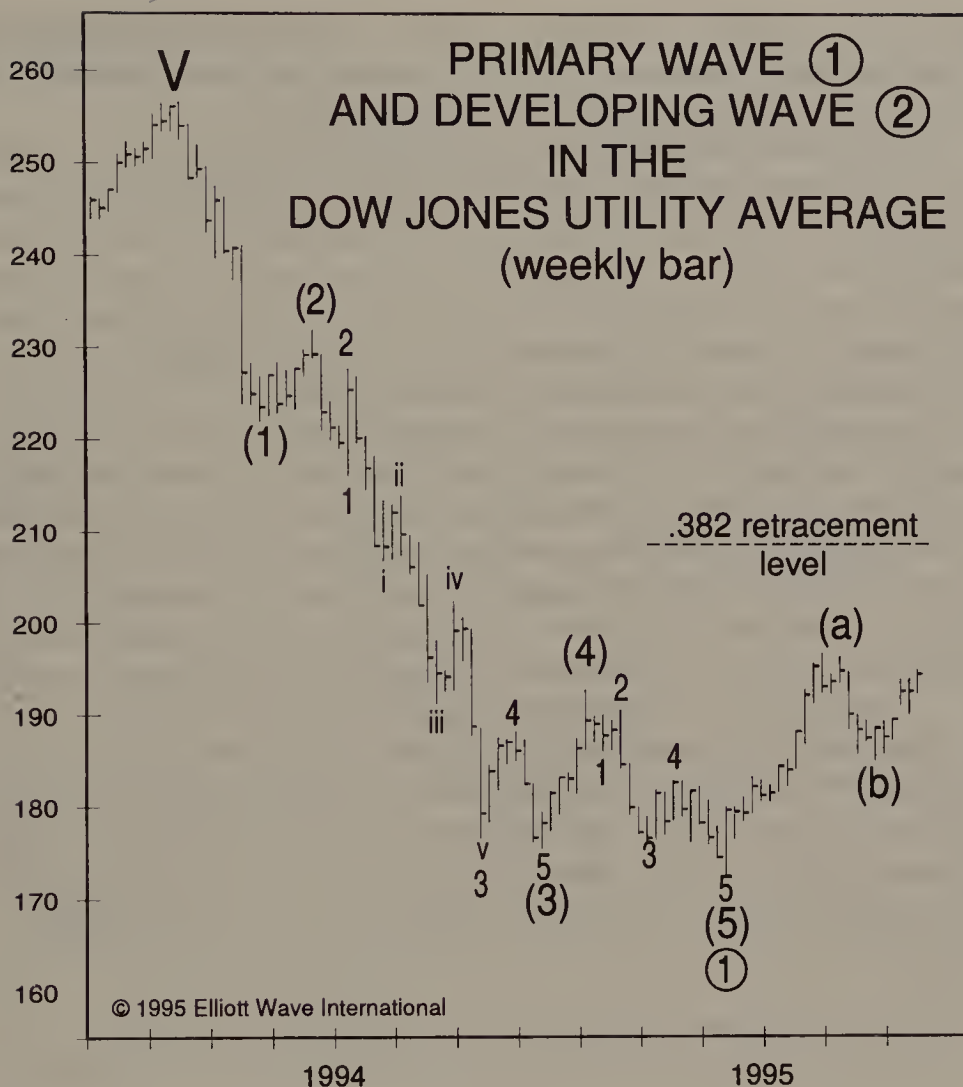


Figure 7-7

OUTLOOK

The last bear market of Supercycle degree in the Dow Jones Utility Average, which took place from 1929 to 1942, is labeled in Figure 7-5 as a zigzag with a contracting triangle in the wave B position. Though a lack of data precludes certainty, that corrective process is presumed to be wave (IV), as it is difficult to imagine the Utilities being in a position different from those of the DJIA and DJTA. The wave (IV) decline in the Utilities matched the one in the